becoming a central banker, I've learnt to mumble with great incoherence. If I seem unduly clear to you, you must have misunderstood what I said.'

The caution to central banks on communicating during crisis times was even more dire. In his bestselling book, *Lords of Finance*, a detailed and compelling account of the role played by four central bank governors (of France, Germany, the US and the UK) during the Great Depression of the 1930s, Liaquat Ahamed says that in times of crisis, the advice to central banks used to be to follow what mothers, cutting across cultures, tell their children when guests are expected: 'If you can't say anything nice, don't say anything at all.' This followed from the fine line that central banks have to tread between being reassuring without being dishonest.

So, what explains this remarkable shift in the theology of central bank communication from deliberate obscurity and caution to active engagement and transparency? There were three broad factors behind this. The first was the growing notion that in a democratic society, a central bank that prizes its independence has also to be conscious of its obligation to render accountability. An important way of doing this is for the central bank to explain its policies, the thinking underlying these policies and the expected outcomes so that the larger public can hold it to account for results.

The second factor that drove this shift towards more open communication was the realization that successful monetary policy is not just a matter of effective calibration of overnight interest rates, but also about shaping expectations on how those policies influence real-sector variables like growth and employment.

As citizens, we are all consumers of information put out by government departments and public agencies. But the information put out by a central bank is different from all the rest, and in an important way. Assume, for example, that we are talking not about the central bank's monetary policy, but about, say, the government's rural development policy—in particular, a decision by the government to connect every village with an all-weather road. It does not matter, except of course for reasons of electoral politics, whether the government announces this decision through a high-profile press conference on the TV or through a low-key press release or even if